

- 1 (a) Calculate St. Kitts and Nevis's government budget deficit in 2022. [1]
- (b) Identify **two** examples of the factor of production 'land' in St. Kitts and Nevis. [2]
- (c) Explain how tourism causes external costs in St. Kitts and Nevis. [2]
- (d) Explain **two** reasons why a foreign bank may open a branch in St. Kitts and Nevis. [4]
- (e) Draw a demand and supply diagram to show the effect of an increase in the productivity of onion farmers on the market for onions. [4]
- (f) Analyse the relationship between healthcare spending as a percentage of GDP and life expectancy. [5]
- (g) Discuss whether or not an increase in the size of its fishing industry would benefit St. Kitts and Nevis. [6]
- (h) Discuss whether or not deflation is likely to have harmed St. Kitts and Nevis. [6]

Section B

Answer any **three** questions.

Each question is introduced by stimulus material. In your answer you may refer to this material and/or to other examples that you have studied.